

Lakeshore Securities LLC

2025 Consolidated Form 1099

Member FINRA / SIPC · Clearing through Apex Clearing Corporation
330 East Wisconsin Avenue, Milwaukee, WI 53202
Tax Reporting 1-877-555-0190 · lakeshoresec.com

Recipient Account ••••-7731
Tax Year **2025**
Issued February 14, 2026

RECIPIENT: Eudora Q. Ferncliffe & Bram T. Ferncliffe
4127 Tokay Boulevard, Madison, WI 53711
Recipient TIN XXX-XX-4417 · Account ••••-7731

PAYER: Lakeshore Securities LLC · 330 East Wisconsin Avenue · Milwaukee, WI 53202 · Payer's TIN 39-2255108 · Telephone 1-877-555-0190

Summary of Reportable Tax Information

Form / Box	Description	Amount
1099-DIV 1a	Total ordinary dividends	3,400.00
1099-DIV 1b	Qualified dividends	2,900.00
1099-DIV 2a	Total capital gain distributions	850.00
1099-DIV 5	Section 199A dividends	0.00
1099-INT 1	Interest income	0.00
1099-OID 1	Original issue discount (non-Treasury)	1,155.14
1099-OID 8	OID on U.S. Treasury obligations	2,594.03
1099-OID 11	Tax-exempt OID	0.00
1099-B	Proceeds from broker transactions	0.00 (no reportable sales)

Amounts on this Consolidated Form 1099 are reported to the Internal Revenue Service. Interest earned in your linked bank deposit account is reported separately by that institution. Keep this statement for the preparation of your income tax returns.

Form 1099-DIV — Dividends and Distributions

1a Total ordinary dividends		1b Qualified dividends	
3,400.00		2,900.00	
2a Total capital gain distr.	2b Unrecap. Sec. 1250 gain	3 Nondividend distributions	
850.00	0.00	0.00	
4 Federal income tax withheld	5 Section 199A dividends	7 Foreign tax paid	
0.00	0.00	0.00	

Dividends & Distributions — Detail by Security

Security (CUSIP)	Pay Date	Type	Amount
VANGUARD TOTAL STOCK MKT ADM (922908728)	2025-03-21	Qualified dividend	712.00
VANGUARD TOTAL STOCK MKT ADM (922908728)	2025-06-24	Qualified dividend	705.00
VANGUARD TOTAL STOCK MKT ADM (922908728)	2025-09-23	Qualified dividend	741.00
VANGUARD TOTAL STOCK MKT ADM (922908728)	2025-12-22	Qualified dividend	742.00
VANGUARD TOTAL STOCK MKT ADM (922908728)	2025-12-22	Capital gain distribution (LT)	850.00
VANGUARD TOTAL BOND MKT ADM (921937835)	2025-monthly	Ordinary dividend	318.00
FIDELITY GOVT MONEY MARKET (31617H102)	2025-monthly	Ordinary dividend (non-qualified)	182.00
TOTAL ORDINARY DIVIDENDS (Box 1a)			3,400.00
TOTAL QUALIFIED (Box 1b)			2,900.00
TOTAL CAPITAL GAIN DISTR. (Box 2a)			850.00

Money-market fund distributions are dividends, not interest, and are not qualified. Bond-fund distributions are ordinary dividends. Qualified dividends are a subset of ordinary dividends eligible for reduced long-term capital-gain rates if holding-period requirements are met.

Form 1099-OID — Original Issue Discount

Original issue discount (OID) is the excess of a debt instrument's stated redemption price at maturity over its issue price; it accrues over the life of the instrument even though no cash is paid until maturity. The amounts below represent OID that accrued on your holdings during 2025.

1 Original issue discount for 2025		2 Other periodic interest	
1,155.14		0.00	
8 OID on U.S. Treasury obligations		11 Tax-exempt OID	
2,594.03		0.00	
Account number	Payer's TIN		Recipient's TIN
••••-7731	39-2255108		XXX-XX-4417

Instrument	CUSIP	2025 OID	1099-OID Box
U.S. TREASURY STRIPS 0% 11/15/2032	912803FK7	2,594.03	Box 8
BROKERED CD 0% HORICON CMTY BK 07/31/2030	43900AXK2	1,155.14	Box 1
TOTAL OID REPORTED		3,749.17	—

The amounts above are reported to the Internal Revenue Service. See the Instructions for Recipient for descriptions of each box. This statement does not constitute tax advice.

OID Accrual Schedule — U.S. Treasury STRIPS 0% due 11/15/2032 — CUSIP 912803FK7

Face (redemption) amount \$85,000.00; acquisition price \$56,000.00 on 2022-11-15; maturity 2032-11-15; constant yield to maturity 4.261% per annum. OID accrues by the constant-yield (scientific) method: each period's accrual equals the adjusted basis at the start of the period multiplied by the yield, and is then added to basis. Amounts attributable to 2025 are highlighted in the right-hand column and are reported on Form 1099-OID.

Accrual Period Ending	Accrual	Adjusted Basis After	2025 Reportable
2023-05-15	1,180.71	57,180.71	—
2023-11-15	1,205.61	58,386.32	—
2024-05-15	1,231.03	59,617.35	—
2024-11-15	1,256.98	60,874.33	—
2025-05-15	1,283.48	62,157.82	1,283.48
2025-11-15	1,310.55	63,468.36	1,310.55
2026-05-15	1,338.18	64,806.54	—
2026-11-15	1,366.39	66,172.93	—
2027-05-15	1,395.20	67,568.13	—
2027-11-15	1,424.62	68,992.75	—
2028-05-15	1,454.66	70,447.41	—
2028-11-15	1,485.33	71,932.73	—
2029-05-15	1,516.64	73,449.38	—
2029-11-15	1,548.62	74,998.00	—
2030-05-15	1,581.27	76,579.27	—
2030-11-15	1,614.61	78,193.88	—
2031-05-15	1,648.65	79,842.53	—
2031-11-15	1,683.41	81,525.94	—
2032-05-15	1,718.91	83,244.85	—
2032-11-15	1,755.15	85,000.00	—
2025 TOTAL (Box 8)			2,594.03

OID Accrual Schedule — Brokered Zero-Coupon CD — Horicon Community Bank — CUSIP 43900AXK2

Face (redemption) amount \$30,000.00; acquisition price \$21,000.00 on 2023-07-31; maturity 2030-07-31; constant yield to maturity 5.227% per annum. OID accrues by the constant-yield (scientific) method: each period's accrual equals the adjusted basis at the start of the period multiplied by the yield, and is then added to basis. Amounts attributable to 2025 are highlighted in the right-hand column and are reported on Form 1099-OID.

Accrual Period Ending	Accrual	Adjusted Basis After	2025 Reportable
2024-01-31	541.89	21,541.89	—
2024-07-31	555.87	22,097.75	—
2025-01-31	570.21	22,667.97	570.21
2025-07-31	584.93	23,252.89	584.93
2026-01-31	600.02	23,852.91	—
2026-07-31	615.50	24,468.42	—
2027-01-31	631.39	25,099.80	—
2027-07-31	647.68	25,747.48	—
2028-01-31	664.39	26,411.87	—
2028-07-31	681.53	27,093.40	—
2029-01-31	699.12	27,792.52	—
2029-07-31	717.16	28,509.68	—
2030-01-31	735.67	29,245.35	—
2030-07-31	754.65	30,000.00	—
2025 TOTAL (Box 1)			1,155.14

Form 1099-B — Proceeds From Broker and Barter Exchange Transactions

No reportable sales, redemptions, or exchanges occurred in this account during 2025. Reinvested dividends and capital-gain distributions are purchases, not sales, and are reflected in your cost basis but are not reported on Form 1099-B. Accordingly, no Form 8949 detail is provided.

Cost Basis Reporting — Legend & Methodology

Covered securities are those for which we are required to report adjusted cost basis to the IRS; noncovered securities are those acquired before the applicable effective dates, for which basis is reported to you only. The default cost-basis disposal method for this account is first-in, first-out (FIFO) unless you elected otherwise in writing before settlement. For the zero-coupon instruments above, your adjusted basis increases each year by the accrued OID shown on the schedules.

Constant-Yield (Scientific) Method — Explanation

Under the constant-yield method required for most OID instruments, the yield to maturity is computed at acquisition and held constant. The OID accruing in an accrual period equals the adjusted issue price (or your adjusted basis, if you acquired the instrument at a premium or discount to issue price) at the beginning of the period times the yield for the period, less any qualified stated interest. Because these instruments pay no current interest, the entire economic return accrues as OID and is reported annually.

If you acquired a Treasury or other obligation at an acquisition premium, you may be entitled to reduce the OID you include in income; if at an acquisition discount, additional market discount rules may apply on disposition. The figures reported reflect the records available to us and your acquisition information on file. You are responsible for any adjustments required by your specific circumstances.

State Tax Information

A portion of the income reported on this statement may be derived from U.S. government obligations. The percentage of each fund's ordinary income derived from such obligations is shown in the state information table that follows. The tax treatment of income reported on this statement varies by state and by your individual circumstances; consult your state's instructions or your tax adviser.

Instructions for Recipient

Recipient's taxpayer identification number (TIN). For your protection, this form may show only the last four digits of your TIN. However, the issuer has reported your complete TIN to the IRS. **Account number.** May show an account or other unique number the payer assigned to distinguish your account.

Form 1099-DIV. Box 1a shows total ordinary dividends that are taxable. Include this amount on the dividend line of your return. Box 1b shows the portion of box 1a that may be eligible for reduced capital-gains rates as qualified dividends. Box 2a shows total capital-gain distributions from a regulated investment company or real estate investment trust; report these on Schedule D (or directly on your return if no other capital transactions). Box 5 shows the portion of box 1a that may be eligible for the 20% qualified-business-income deduction under section 199A. Box 7 shows foreign tax you may be able to claim as a deduction or credit.

Form 1099-INT. Box 1 shows interest income. Box 3 shows interest on U.S. Savings Bonds and Treasury obligations. Box 8 shows tax-exempt interest. No interest was paid in this brokerage account during the year; interest on your separate bank deposit accounts is reported by those institutions.

Form 1099-OID. Box 1 shows the original issue discount (OID) on obligations other than U.S. Treasury obligations for the part of the year you owned them. Box 2 shows other periodic interest. Box 8 shows OID on U.S. Treasury obligations. Box 11 shows tax-exempt OID. You may need to recompute OID if you bought or sold the obligation during the year, or if there is acquisition premium; see the Instructions for Form 1040 and Pub. 1212, Guide to Original Issue Discount (OID) Instruments. The amount in box 1 or box 8 may not be the correct amount to report if you paid an acquisition premium or the obligation is a stripped bond or coupon.

Form 1099-B. Reports proceeds from sales, redemptions, and exchanges of securities, and indicates whether the cost basis was reported to the IRS (covered) or to you only (noncovered). No reportable dispositions occurred in this account during the year; therefore no amounts are shown and no Form 8949 detail is included.

Backup withholding. If you did not provide a correct TIN, the payer may be required to withhold and pay to the IRS a percentage of certain payments as backup withholding. No backup withholding was applied to this account.

U.S. Government Obligation Income — Information by State

For shareholders in states that exempt income derived from U.S. government obligations, the table below indicates the percentage of each fund's ordinary income that was derived from such obligations during the year. Some states impose minimum-holding or asset-threshold requirements before the exemption applies. Direct U.S. Treasury OID reported in Box 8 above is 100% from U.S. government obligations. Consult your state's instructions.

Fund	% U.S. Govt Obligations	State Notes
Fidelity Government Money Market (SPAXX)	41.62%	Subject to 50% asset test in CA, CT, NY
Vanguard Total Bond Market Index (VBTLX)	31.08%	Subject to 50% asset test in CA, CT, NY
Vanguard Total Stock Market Index (VTSAX)	0.00%	No U.S. government obligation income
U.S. Treasury STRIPS (direct holding)	100.00%	Direct U.S. obligation — generally state-exempt
Brokered CD — Horicon Community Bank	0.00%	Bank obligation — not a U.S. government obligation

Representative state treatment of U.S. government obligation interest (not exhaustive):

State	U.S. Obligation Interest	State	U.S. Obligation Interest
AL	Exempt	AZ	Exempt
AR	Exempt	CA	Exempt (50% asset test)
CO	Exempt	CT	Exempt (50% asset test)
GA	Exempt	IL	Exempt
IN	Exempt	IA	Exempt
KS	Exempt	KY	Exempt
MD	Exempt	MA	Exempt
MI	Exempt	MN	Exempt
MO	Exempt	NE	Exempt
NJ	Exempt	NY	Exempt (50% asset test)
NC	Exempt	OH	Exempt
PA	Exempt	VA	Exempt
WI	Exempt	WV	Taxable in part

Projected OID Accrual by Year (to Maturity)

The constant-yield method produces a predictable schedule of annual OID. The tables below summarize OID by calendar year over the life of each instrument, for your planning. Only the 2025 amounts are reported on this year's Form 1099-OID; future years will be reported as they accrue.

U.S. Treasury STRIPS 0% due 11/15/2032 (CUSIP 912803FK7) — Box 8

Calendar Year	OID Accrual	Cumulative OID	Status
2023	2,386.32	2,386.32	Prior (reported)
2024	2,488.01	4,874.33	Prior (reported)
2025	2,594.03	7,468.36	Reported 2025
2026	2,704.57	10,172.93	Future (projected)
2027	2,819.82	12,992.75	Future (projected)
2028	2,939.99	15,932.74	Future (projected)
2029	3,065.26	18,998.00	Future (projected)
2030	3,195.88	22,193.88	Future (projected)
2031	3,332.06	25,525.94	Future (projected)
2032	3,474.06	29,000.00	Future (projected)

Brokered Zero-Coupon CD — Horicon Community Bank (CUSIP 43900AXK2) — Box 1

Calendar Year	OID Accrual	Cumulative OID	Status
2024	1,097.76	1,097.76	Prior (reported)
2025	1,155.14	2,252.90	Reported 2025
2026	1,215.52	3,468.42	Future (projected)
2027	1,279.07	4,747.49	Future (projected)
2028	1,345.92	6,093.41	Future (projected)
2029	1,416.28	7,509.69	Future (projected)
2030	1,490.32	9,000.01	Future (projected)

Note: a partial-year accrual applies in the acquisition and maturity years because the instrument was not held for the full calendar year. Cumulative OID at maturity, added to your original purchase price, equals the face (redemption) amount.

Year-End Account Values & Accrued Income

Holding	CUSIP	Year-End Market Value	2025 Income / Accrual
U.S. Treasury STRIPS 0% 11/15/2032	912803FK7	68,150.00	2,594.03 (OID)
Brokered CD 0% 07/31/2030	43900AXK2	24,180.00	1,155.14 (OID)
Vanguard Total Stock Market Index (VTSAX)	922908728	40,410.00	3,750.00 (div + cap gain)
Vanguard Total Bond Market Index (VBTLX)	921937835	28,980.00	318.00 (div)
Fidelity Government Money Market (SPAXX)	31617H102	15,240.00	182.00 (div)
Total		176,960.00	

Year-end market values are provided for your information and are not reported to the IRS. Accrued OID on the zero-coupon holdings increases your adjusted cost basis and is reported as income for the year shown.

Reconciliation of Reportable Income

The table below reconciles the income credited to your account during the year to the amounts reported to the IRS on this Consolidated Form 1099. Reinvested dividends and capital-gain distributions are reported as income in the year credited even though they were used to purchase additional shares.

Income Type	Credited to Account	Reportable Amount	Form / Box
Qualified dividends (stock fund)	2,900.00	2,900.00	1099-DIV 1b
Other ordinary dividends (bond & MMF)	500.00	500.00	1099-DIV 1a (part)
Capital gain distributions (long-term)	850.00	850.00	1099-DIV 2a
OID — U.S. Treasury STRIPS (accrued, not paid)	2,594.03	2,594.03	1099-OID 8
OID — brokered CD (accrued, not paid)	1,155.14	1,155.14	1099-OID 1
Interest paid in brokerage account	0.00	0.00	1099-INT 1

Total ordinary dividends in Box 1a (3,400.00) comprise qualified dividends of 2,900.00 plus non-qualified ordinary dividends from the bond and money-market funds. The OID amounts represent economic interest that accrued during the year on zero-coupon instruments; no cash was distributed.

Adjustments to OID — Acquisition Premium and Market Discount

If you acquired an OID obligation after its original issue at a price greater than its adjusted issue price (an acquisition premium), you may reduce the OID you would otherwise include in income by the amortizable premium attributable to the period. Conversely, if you acquired the obligation at a market discount, accrued market discount may be treated as ordinary income upon disposition. The amounts reported in Boxes 1 and 8 reflect the OID for the period based on the issuer's adjusted issue price and the acquisition information on file; if your acquisition price differs, you may be required to recompute the includible amount using the rules in Pub. 1212. Box 6 (acquisition premium) is not applicable to these holdings.

Wash Sales, Constructive Sales, and Section 1256

No wash-sale loss deferrals, constructive sales, or Section 1256 mark-to-market contracts were identified in this account for the year. Had any reportable sale generated a loss with a replacement purchase within the 61-day window, the disallowed loss would be reported as a wash-sale adjustment on Form 1099-B and added to the basis of the replacement shares.

FATCA and Foreign Account Reporting

The FATCA filing requirement box on your forms is not checked. This account is a domestic account and is not reported under chapter 4 (FATCA). If you hold specified foreign financial assets above the applicable thresholds elsewhere, you may have separate reporting obligations on Form 8938 and FinCEN Form 114; those obligations are independent of this statement.

Privacy Notice

Lakeshore Securities LLC and its clearing firm collect nonpublic personal information about you from your account applications and forms, your transactions with us and others, and consumer reporting agencies. We do not sell your personal information. We may share information among our affiliates and with nonaffiliated service providers as permitted by law to service your account, and as necessary to process transactions and report to tax authorities. We maintain physical, electronic, and procedural safeguards designed to protect your information. You may limit certain sharing as described in our full privacy policy, available at lakeshoresec.com or by request.

Business Continuity & Customer Identification

Lakeshore Securities maintains a business continuity plan addressing significant business disruptions; a summary is available on request. To help the government fight the funding of terrorism and money-laundering activities, federal law requires financial institutions to obtain, verify, and record information that identifies each person who opens an account. When you open an account, we ask for your name, address, date of birth, and other information that allows us to identify you.

Margin and Account Fees

This is a cash account; no margin interest was charged. Standard account fees, if any, are described in your customer agreement and fee schedule. No account maintenance fee was assessed for the period covered by this statement.

Glossary of Tax-Reporting Terms

Original issue discount (OID). The excess of a debt instrument's stated redemption price at maturity over its issue price; it accrues over the life of the instrument even though no cash is paid until maturity.

Qualified dividend. A dividend that meets holding-period and other requirements and is eligible for the lower long-term capital-gain tax rates rather than ordinary income rates.

Capital gain distribution. A distribution of net long-term capital gains by a regulated investment company (mutual fund) or REIT, taxed at long-term capital-gain rates.

Covered / noncovered security. A covered security is one for which the broker must report adjusted basis to the IRS; for noncovered securities, basis is reported to the holder only.

Constant-yield method. The method used to accrue OID, under which the yield to maturity at acquisition is applied to the adjusted basis at the start of each accrual period.

Adjusted basis. Your cost in a security adjusted for items such as accrued OID, reinvested distributions, return of capital, and amortization of premium.

Acquisition premium. The excess of a holder's basis in an OID obligation immediately after acquisition over the obligation's adjusted issue price; it reduces includible OID.

Backup withholding. Tax withheld by a payer when a payee fails to furnish a correct TIN or is otherwise subject to withholding; reported in the federal-tax-withheld box.

Record Retention & Corrected Forms

Retain this statement and your acquisition records for as long as you hold each security and for at least three years after you report a disposition. If an issuer reclassifies a distribution or revises OID after this statement is produced, you will receive a corrected Consolidated Form 1099 marked "CORRECTED." Corrected forms are also furnished to the IRS; if you have already filed, you may need to amend your return to reflect the corrected amounts. The deadline for mailing original forms is generally February 15; corrected forms may be issued later as issuer information becomes final.

Important Disclosures

Securities products are not FDIC insured, are not bank guaranteed, and may lose value. Brokerage accounts are carried by the clearing firm; member FINRA/SIPC. SIPC protection covers the net equity of customer accounts up to \$500,000, including up to \$250,000 for claims for cash.

This Consolidated Form 1099 may be amended if issuers reclassify income after the original mailing date. If you receive a corrected statement, use the most recent version when preparing your return. Lakeshore Securities does not provide tax or legal advice.